PRIVATE RESEARCH NOTE

Investing in the S&P 500 Under the FIG Regime

Research and recommendation, prepared for Danni and Stu

27 August 2026

1. Executive Summary

Recommendation: open a joint account with Interactive Brokers and invest in CSPX (iShares Core S&P 500 UCITS ETF, Irish-domiciled, accumulating), funded directly from Australia, and elect Foreign Income and Gains (FIG) relief on your UK Self Assessment each year. Investing roughly £10,000 per month from around September 2026 until your planned departure in Q1 2030, this is projected to be worth somewhere between £460,000 and £490,000 on a base case of average market returns, on total contributions of about £410,000, before any additional dividend top-ups from the business.

This is the same core structure that came out of the earlier research with Gemini, and the mechanics of it (Irish UCITS ETF, offshore broker, FIG election) hold up. What this note adds is three things Gemini's research did not resolve: confirmation that your entire investing window sits inside your FIG protection given your confirmed 18 May 2026 start date, a specific set of risks tied to your planned 2030 departure that need to be checked before you commit real money, and a comparison against the alternatives so you and Stu can see why each was set aside rather than just being told CSPX is the answer.

> **Before you commit capital**
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> This document is research and reasoning, not tax or investment advice. Three points below (Section 5) need written sign-off from a qualified UK cross-border tax adviser before you start, not after: how the fund's internally reinvested income (ERI) is treated under FIG, what happens if you return to the UK within 5 years of leaving, and what happens if either of you becomes a US taxpayer down the line.

2. Your Situation

- Both UK tax resident and FIG-eligible from 18 May 2026, confirmed with your lawyers.
- Planning to invest around £10,000/month, plus irregular top-ups from quarterly business dividends when available.
- Planning to leave the UK in Q1 2030, and not planning to use a UK ISA.
- Investment horizon is longer term. You intend to keep holding this after you leave the UK, not cash it in on departure.
- Objective is broad, low-cost exposure to US large-cap equity growth.

3. Recommended Strategy

3.1 Why an Irish-domiciled UCITS ETF, not a US-domiciled one

UK regulation (the PRIIPs rules) requires any fund sold to UK retail investors to publish a Key Information Document. US fund providers, including Vanguard's VOO and State Street's SPY, do not produce one, so every UK-facing broker, including offshore entities of Interactive Brokers, blocks UK retail clients from buying them directly. This is not specific to FIG, it applies to every UK resident investor. Separately, and this matters even if the access block were somehow avoided, US-domiciled funds expose a non-US holder to US estate tax on death on any holding above $60,000, a real and often-overlooked risk for a couple planning to hold a growing position for years. Irish-domiciled UCITS ETFs solve both problems: they carry the required KID, and Ireland does not levy estate tax on non-resident holders.

3.2 Why CSPX specifically

CSPX (iShares Core S&P 500 UCITS ETF, ISIN IE00B5BMR087) is one of the largest and most liquid S&P 500 trackers available to UK investors, with roughly €133 billion in assets, a 0.07% annual fee, and full physical replication (it holds the actual underlying shares rather than using derivatives, which is the simpler and lower-counterparty-risk approach). Vanguard's equivalent, VUAA, is functionally interchangeable at a similar fee, so if you ever find CSPX unavailable or want to split providers for diversification of custodial risk, VUAA is a reasonable direct substitute.

Within CSPX itself, the accumulating share class is the right choice over the distributing one (IUSA). An accumulating fund reinvests dividends inside the fund automatically. A distributing fund pays them out as cash to your brokerage account, which you then have to manually reinvest, paying a small trading fee and bid-ask spread each time, and leaving cash sitting idle between payouts. Since you have no need for income now, accumulating removes that friction entirely and compounds more efficiently.

3.3 Why Interactive Brokers

IBKR lets you open the account under an entity outside UK jurisdiction (its US or Ireland entity, not IBKR UK), supports multi-currency balances so you can fund directly in AUD and convert to USD internally at close to spot rates, and gives full access to Irish UCITS ETFs. Onboarding through interactivebrokers.co.uk versus .com makes no practical difference: the platform routes your account to the correct legal entity based on your declared tax residency, and it is the location of the underlying asset (Ireland, for CSPX), not the broker's website domain, that determines FIG status.

3.4 Why FIG makes this efficient, and what it actually buys you

Under FIG, foreign income and capital gains arising in your qualifying years are exempt from UK Income Tax and Capital Gains Tax, and can be brought into the UK freely without triggering a tax charge, provided you actively claim the relief on your Self Assessment return (SA106/SA109) each year. Because CSPX is Irish-domiciled and funded from an Australian account, both the capital growth and the dividends reinvested inside the fund qualify as foreign income and gains, not UK-source income.

Claiming FIG relief in a given tax year means giving up your UK Personal Allowance (£12,570) and CGT Annual Exempt Amount (£3,000) for that year. If either of you has meaningful UK-source income, such as a UK salary, it is worth checking each year that the tax saved on the investment outweighs the allowance given up. For most people in your position the FIG saving dwarfs the allowance, but it is a real trade-off, not a free lunch, and worth confirming with your adviser at each filing.

3.5 Why not an ISA, in your specific case

Your instinct to skip the ISA is right, and here is the mechanism behind it. An ISA is a UK tax wrapper: it only shelters you from UK tax, and only for as long as you remain UK resident and keep contributing. Once you leave the UK, you can keep an existing ISA and it stays UK-tax-free, but most other countries do not recognise the ISA wrapper at all and will tax the underlying income and gains under their own domestic rules the moment you become tax resident there. Since you are planning to leave within a few years, the ISA's main selling point (a tax-free wrapper that lasts indefinitely) has much less value to you than it would to someone staying in the UK long term.

FIG, by contrast, already gives you broader protection than an ISA would during the years that matter to you. It covers gains and income of any size (an ISA caps you at £20,000 each per tax year, £40,000 combined), and it is not tied to a UK account type, so the same CSPX holding travels with you when you leave. There is no meaningful case for splitting contributions into an ISA here.

3.6 Account structure: joint account

Because you and Stu share the same FIG start date (18 May 2026), the usual reason to keep separate accounts, protecting each person's individual tax allowances in case one person's FIG window runs longer than the other's, does not apply to you. A joint account (Joint Tenants with Rights of Survivorship) on Interactive Brokers is the simpler choice: one login, one set of onboarding paperwork, and if one of you dies the account passes automatically to the survivor without going through probate, which is particularly useful for a couple about to be living outside the UK. Each of you completes your own W-8BEN during onboarding. HMRC will treat income and gains from a joint account as split 50/50 between you for reporting purposes.

4. Projected Outcomes

Assumptions: £10,000 invested at the end of each month, starting September 2026 and running to January 2030 (41 months, the midpoint of a Q1 2030 departure), monthly compounding, in USD terms with GBP as the reporting currency for round numbers. These are illustrative scenarios based on long-run historical annual return assumptions, not a forecast, and do not include any additional dividend top-ups from the business, which would only add to the totals below.

Annual return scenario	Total contributed	Projected value	Estimated growth
7% (conservative / inflation-adjusted)	£410,000	£461,671	+£51,671
8% (moderate)	£410,000	£469,720	+£59,720
10% (S&P 500 long-run nominal average)	£410,000	£486,360	+£76,360

For context, CSPX has returned roughly 14% a year annualised since its 2010 launch, well above the 10% figure used as the upper scenario here. That decade was an unusually strong one for US large-cap and mega-cap technology stocks. Treat 10% as a reasonable long-run planning assumption and anything above it as a bonus, not a baseline to expect.

Two things this table does not capture

Sequence risk: 41 months is a short window for equities. If markets fall in year 3 or 4, the ending value could land meaningfully below even the 7% scenario, since there is little time left to recover before you need the structure to be settled ahead of your move.

Currency: your capital moves AUD to USD (funding CSPX) and you will likely think of your wealth in GBP or your next country's currency. Two currency conversions sit between your contributions and how the number feels to you, and CSPX itself carries no GBP or AUD hedging.

5. Critical Risks and Open Items to Confirm

These are not reasons to abandon the plan. They are the specific, load-bearing questions that need a qualified adviser's written answer before you wire meaningful money, because each one could change the recommendation if the answer is unfavourable.

5.1 How the fund's reinvested income is treated under FIG

CSPX is an accumulating fund: instead of paying dividends out to you, it reinvests them inside the fund. Because CSPX holds UK reporting fund status, HMRC treats you as if you received that reinvested income each year even though you did not (this is called Excess Reportable Income, ERI), and normally taxes it as income in the year it arises. Whether ERI from a foreign reporting fund is covered by your FIG election is a genuinely new and, as far as we can establish, not yet fully settled area of law: the FIG regime only came into force in April 2025, and the commentary available from tax advisory firms treats this as a real point to confirm rather than an obvious yes. Your lawyers confirming your FIG eligibility and start date is a different question from confirming that this specific income type is covered. Ask for that confirmation specifically, in writing, before you start contributing at scale.

5.2 The temporary non-residence rule, given you may plan to leave and possibly return

By the time you leave in Q1 2030, you will have been UK tax resident for 4 tax years (2026/27 through 2029/30), out of the last 7. Under HMRC's temporary non-residence rules, that is exactly the threshold that puts you in scope: if you become UK resident again within 5 years of leaving, any gains you realised (that is, any CSPX shares you actually sold) while non-resident are taxed as if they arose in the year you come back, at that year's rates, and outside the FIG shelter, since a fresh FIG election requires a further 10 consecutive years of non-UK residence to requalify.

In practice, this only bites if you sell while abroad and then resettle in the UK within 5 years. Simply holding the investment while non-resident does not trigger anything on its own, there is no tax charge on unrealised growth. If there is any realistic chance you return to the UK inside that 5-year window, build that into your planning before you sell any of this holding after you leave, and get advice on timing before you do.

5.3 What happens if either of you becomes a US taxpayer

This is the one risk in this note that could flip the recommendation entirely, not just add a caveat. Irish-domiciled UCITS ETFs, including CSPX, are classified as Passive Foreign Investment Companies (PFICs) for US tax purposes. If either of you ever becomes a US tax person, through a green card, a work visa that leads to tax residency, marriage to a US citizen, or US citizenship, holding CSPX becomes a genuine problem: the default US tax treatment of a PFIC is punitive (gains taxed at ordinary income rates plus an interest charge, even on long-held positions), it requires an annual US tax filing (Form 8621) for as long as you hold it, and the more favourable elections that reduce this burden are often unavailable in practice because the fund doesn't publish the data they require.

If a move to the US, a US-citizen partner or spouse down the line, or any other route to US tax status is even plausible for either of you, say so to your adviser now. It does not necessarily rule out CSPX today, since your FIG plan and departure timeline stand on their own, but it changes what you should do with this holding if that possibility becomes real, and it is far easier to plan for in advance than to unwind after the fact.

5.4 Your next country's tax treatment of the fund

Once you leave the UK, this document's UK-specific advantages (FIG, PRIIPs workaround) stop being the relevant question, and your destination country's rules take over. Some countries tax foreign reporting funds cleanly, some have their own version of the UK's ERI regime, and some (as above, most acutely the US) treat foreign funds punitively. Before you settle on a final destination, or at the latest well before Q1 2030, it is worth a short piece of research or advice on how that specific country treats a foreign accumulating ETF held by an incoming resident, so you are not restructuring in a hurry after you have already moved.

6. Alternatives Considered

The table below summarises every option that came up across the research, and Sections 6.1 to 6.7 explain the reasoning behind each verdict.

Option	Annual cost	Verdict
CSPX (Irish UCITS, accumulating) via IBKR	0.07%	Recommended
VUAA (Vanguard equivalent of CSPX)	~0.07%	Reasonable direct substitute
IUSA (Irish UCITS, distributing)	0.07%	Same fund, worse mechanics for your goal
US-domiciled ETFs (VOO, SPY)	0.03–0.09%	Blocked for UK retail; estate tax risk
Global tracker (VWRA/VWRP, all-world)	0.14%	Valid, more diversified alternative
UK Stocks & Shares ISA / GIA	Platform fees vary	Not suited to your departure plan
SIPP / pension	Platform fees vary	Wrong liquidity profile
Offshore investment bond	1–3%+ typical	Adds cost and complexity FIG already avoids
Individual stocks / active funds	Varies, often 0.5–2%+	Higher risk and cost, no clear benefit
Direct property	High transaction costs	Illiquid, poor fit for relocating

6.1 US-domiciled ETFs (VOO, SPY)

Covered in Section 3.1: blocked by PRIIPs for UK retail regardless of broker, and carries US estate tax exposure above $60,000 even where accessible. The one scenario where this could flip is if either of you becomes a US taxpayer, in which case a US-domiciled fund actually avoids the PFIC problem that CSPX would create. That is a reason to revisit fund choice if US tax status becomes real, not a reason to choose VOO today.

6.2 A globally diversified tracker instead of pure S&P 500

VWRA/VWRP (Vanguard FTSE All-World, Irish-domiciled, also FIG-qualifying) holds roughly 3,600 companies across both developed and emerging markets, rather than 500 large US companies. It costs double CSPX's fee (0.14% versus 0.07%), which is still cheap in absolute terms, and its long-run diversification reduces single-country and single-sector concentration risk. The case for CSPX over this is that you have told us you are specifically chasing the S&P 500's recent outperformance, most of it driven by a handful of mega-cap US technology companies over an unusually strong decade. That is a real, deliberate concentration bet, not a mistake, but it is worth naming as a choice rather than a default. If you would rather not have your entire long-term holding riding on one country and a handful of stocks within it, a global tracker is a genuinely sound alternative, not a consolation prize.

6.3 IUSA (distributing share class)

Same underlying fund and holdings as CSPX, same fee, different plumbing. IUSA pays dividends out as cash, which you would then need to manually reinvest, incurring a small trading fee and FX spread each time, and leaving cash sitting idle between payouts. There is no advantage to this for a couple with no current need for income. Choose CSPX.

6.4 UK Stocks & Shares ISA / General Investment Account

Addressed in Section 3.5. FIG already gives broader, uncapped protection for the years that matter to you, and the ISA's core benefit, an indefinite UK tax-free wrapper, is worth much less to a couple planning to leave the UK within a few years, since most destination countries will not honour it.

6.5 SIPP or pension

Pension contributions get UK tax relief going in and grow tax-free, which is attractive on paper, but the money is locked until at least age 57 (rising over time), and becomes more complicated to manage once you are non-UK resident. Given your goal is a portable, accessible long-term holding you can carry with you, this is the wrong liquidity profile for this specific pot of money. If you have surplus beyond the £10,000/month plan, a separate, smaller pension contribution could still be worth a conversation with your adviser, but it should not replace this plan.

6.6 Offshore investment bonds

These are commonly pitched to people in your exact position (UK residents about to become expats), wrapping underlying funds inside an insurance policy structure with its own tax deferral rules. They typically carry meaningfully higher ongoing charges than a direct ETF holding, often 1–3% or more once platform and adviser charges are included, and add a layer of product complexity. Since FIG already gives you a clean, no-cost route to the same tax outcome for the next four years, an offshore bond would be paying for a benefit you already have for free. Worth a mention only because you are likely to be offered one.

6.7 Individual stocks, active funds, and property

None of these fit a stated goal of low-cost, diversified, long-term growth. Stock-picking and active management carry higher risk and higher fees for no demonstrated edge over an index tracker at this scale. Property is illiquid, expensive to transact, and a poor fit for a couple relocating internationally in under four years. Set aside unless your goals change.

7. Recommended Next Steps

- Get written confirmation from your tax adviser on the three open items in Section 5: ERI treatment of CSPX under FIG, the temporary non-residence exposure given your planned 2030 departure, and the implications if either of you could become a US taxpayer.
- Confirm the fund choice as a deliberate decision between you and Stu: CSPX (concentrated, cheaper, chasing recent US outperformance) or VWRA/VWRP (diversified, still cheap, lower single-country risk). Section 6.2 above.
- Open a joint Interactive Brokers account under UK tax residency, ensuring onboarding routes to a non-UK entity (IBKR LLC or IBKR Ireland, not IBKR UK), and complete W-8BEN for both of you.
- Set up the AUD funding route from your Australian bank account, and keep the transfer and deposit confirmations as your paper trail for FIG reporting.
- Decide how to handle the quarterly business dividend top-ups: invest as received, or batch and invest quarterly alongside the monthly contribution.
- Each year: file SA106/SA109, actively claim FIG relief, and check whether the Personal Allowance and CGT exemption given up that year are still clearly outweighed by the tax saved.
- Around 12 to 18 months before your Q1 2030 departure: revisit this plan with your adviser in light of your confirmed next country, specifically how that country taxes a foreign accumulating ETF.

8. Sources

- HS266 Foreign income and gains (FIG) regime – GOV.UK
- HS278 Temporary non-residents and Capital Gains Tax – GOV.UK
- FSANZ / HMRC Self Assessment guidance on Personal Allowance and CGT Annual Exempt Amount
- iShares Core S&P 500 UCITS ETF (CSPX) fund factsheet and JustETF fund data – BlackRock / JustETF
- Vanguard FTSE All-World UCITS ETF (VWRA/VWRP) fund data – JustETF
- PFIC treatment of Irish-domiciled UCITS ETFs for US persons – Ed Parsons CPA; Skybound Wealth
- Your Gemini research threads: “Investing S&P 500 Under FIG” and “S&P 500 Investment Projection”, used as the starting point for this note

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